

These days, debt securities aren't only purchased, but also sold short to bet on negative developments, or arbitrated to take advantage of price anomalies.

Today, an investor can place bets on the future direction of interest rates, the broad debt market, or subsets of the market without ever transacting in debt securities themselves. Rather, investment banks are happy to sell derivatives, baskets, and synthetics that mirror the performance of the assets in question.

Recent decades have brought the creation of “structured,” or “tranch,” debt securities. These include securities backed by mortgages on residential or commercial properties; asset-backed securities collateralized by things such as credit card receivables; and collateralized loan obligations backed by portfolios of senior loans. The various tranches of these securities have repayment priorities ranging from senior to junior, and thus varying levels of riskiness. The assets backing the junior tranches render the seniors overcollateralized, and the capital from buyers of the lower-yielding senior tranches levers up the potential returns to the holders of the junior tranches. (These structured debt securities are particularly complex, and it was mostly underestimation of the riskiness of sub-prime mortgage-backed securities that led to the Global Financial Crisis.)

When below-investment-grade bonds began to be publicly issued in the 1970s, they usually carried “covenants”: representations from (or limitations on) the issuers that would protect bondholders from potentially deleterious actions on the issuers' part. But investors became more comfortable with risky debt over the years, and more recently heavy inflows of capital created a seller's market in which investors were forced to compete for the opportunity to provide financing by accepting lower yields or increased risk. In the process, covenants are mostly gone from new loans, meaning lenders came to enjoy less protection.